Benchmark Prime Lending Rate (chaired Deepak Mohanty) to review the present benchmark prime lending rate (BPLR) system and suggest changes to make credit pricing more transparent- report submitted in October 2009 and accordingly the idea of Base rate was implemented.

Now, all categories of loans are priced with reference to the Base Rate only, except the- (a) Differential rate of Interest (DRI) loans (b) loans to banks' own employees, and (c) loans to banks' depositors against their own deposits. Since the Base Rate will be the minimum rate for all loans, banks are not permitted to resort to any lending below this rate- accordingly, the provision of lending below the BPLR to a customer by banks if the loan amount is not less than Rs. 2 lakh has been withdrawn. It is expected that the above **deregulation** of lending rate will increase the credit flow to small borrowers at reasonable rate and direct bank finance will provide effective competition to other forms of high cost credit. For export credit, RBI announces the floor rate, separately. Banks are required to review the Base Rate at least once in a quarter and publish the same for the general public.

Current Credit & Monetary Policy

As per the ***Annual Monetary Policy Statement 2013-14 of the RBI*** (announced on 3rd May, 2013) the key rates of the Credit & Monetary Policy stands as given below –

1. **Policy Rates:**
   - Bank Rate – 8.25%
   - Repo Rate – 7.25%
   - Reverse Repo Rate – 6.25%
   - Marginal Standing Facility Rate – 8.25%
2. **Reserve Ratios:**
   - Cash Reserve Ratio – 4%
   - Statutory Liquidity Ratio – 23%
3. **Lenidng / Deposit Rates:**
   - Base Rate – 9.70%- 10.25%
   - Saving Deposit Rate – 4.0% (relates to 5 major banks)
   - Term Deposit Rate – 7.5% - 9.00%